Microsoft Corporation (MSFT)

Equity research · Intrinsic valuation (FCFF DCF) · 11 Oct 2026

Recommendation	Intrinsic value / share	Share price	Upside / (downside)
SELL 15% band + simulation agreement	**USD 364.69** Base case	**USD 535.07** At time of run	**-31.8%** Value vs price
Monte Carlo 5th-95th	P(value > price)	Cost of capital	Terminal value share
290 – 459 10,000 runs	**0%** Share of simulations	**9.8%** Terminal 9.5%	**64%** Of operating value

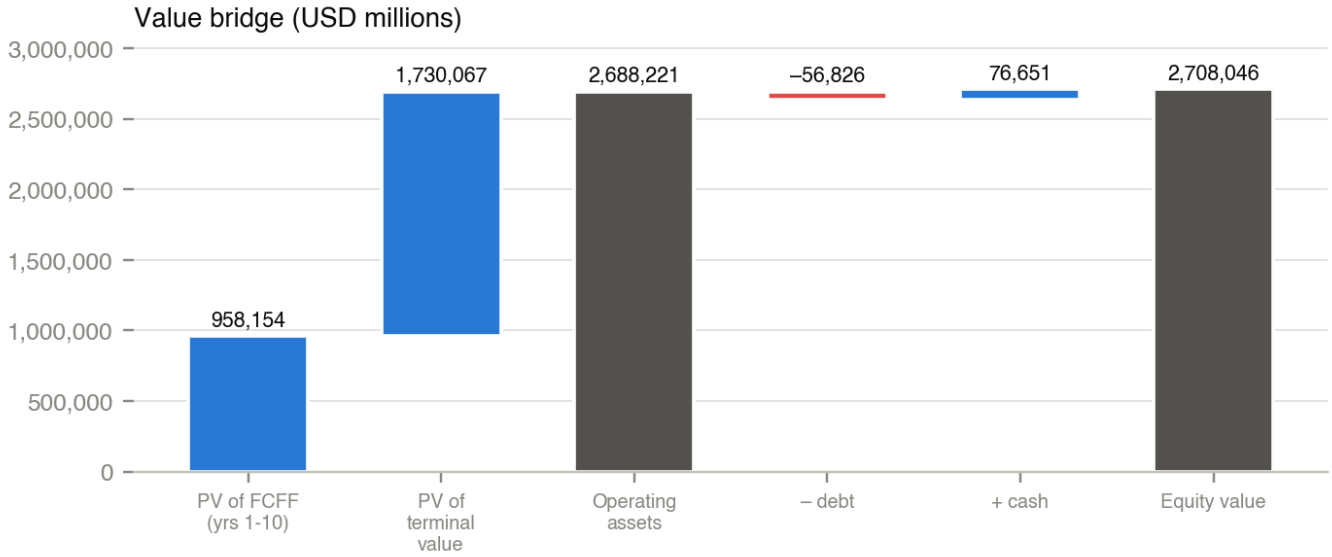
Investment view

SELL. Intrinsic value is 32% below the market price and only 0% of simulations value the shares above it.

The valuation assumes revenue growing 17.8% next year and 16.1% a year in years 2-5, fading to 5.2% in perpetuity; operating margin moving from 46.8% today to 46.8% by year 5; growth funded by 0.79 of revenue per USD1 of capital invested; and a cost of capital of 9.8% falling to 9.5% as the firm matures. The terminal value accounts for 64% of operating asset value.

Key drivers

Driver	Assumption	Source
Revenue growth, year 1	17.8%	Last annual revenue growth (clamped)
Revenue growth, years 2-5	16.1%	3-year historical revenue CAGR (clamped)
Operating margin, year 1	46.8%	Current TTM operating margin
Target operating margin	46.8% by yr 5	Current margin (no improvement assumed); historical average 44.7%
Sales-to-capital (yrs 1-5 / 6-10)	0.79 / 0.79	Revenue / invested capital (clamped 0.5-5.0)
Tax rate (effective → marginal)	19.4% → 25.0%	Tax provision / pre-tax income (TTM)
Cost of capital (initial → terminal)	9.8% → 9.5%	CAPM + synthetic rating (AAA); beta: Yahoo regression beta (clamped 0.6-2.0)
Risk-free rate / terminal growth	5.24% / 5.24%	Market 10y yield; terminal growth defaults to it
Terminal return on capital	9.5%	Default: equals terminal WACC (growth is value-neutral)

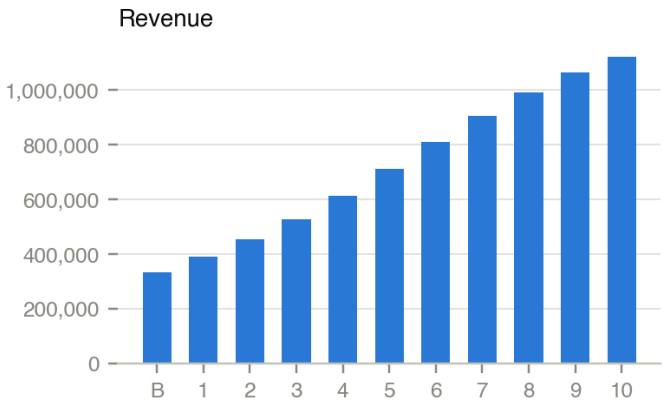


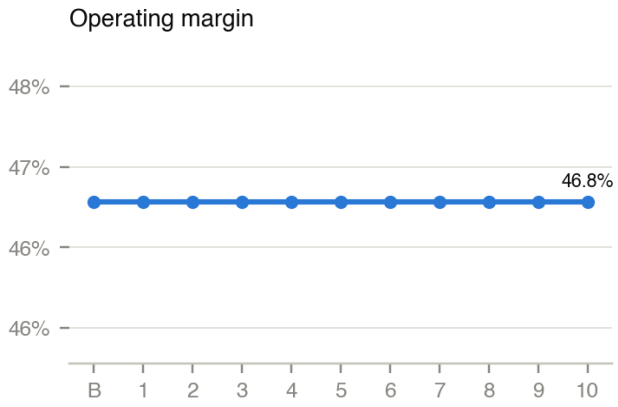
Value per share = 2,708,046 ÷ 7,425.5m shares = **USD 364.69**

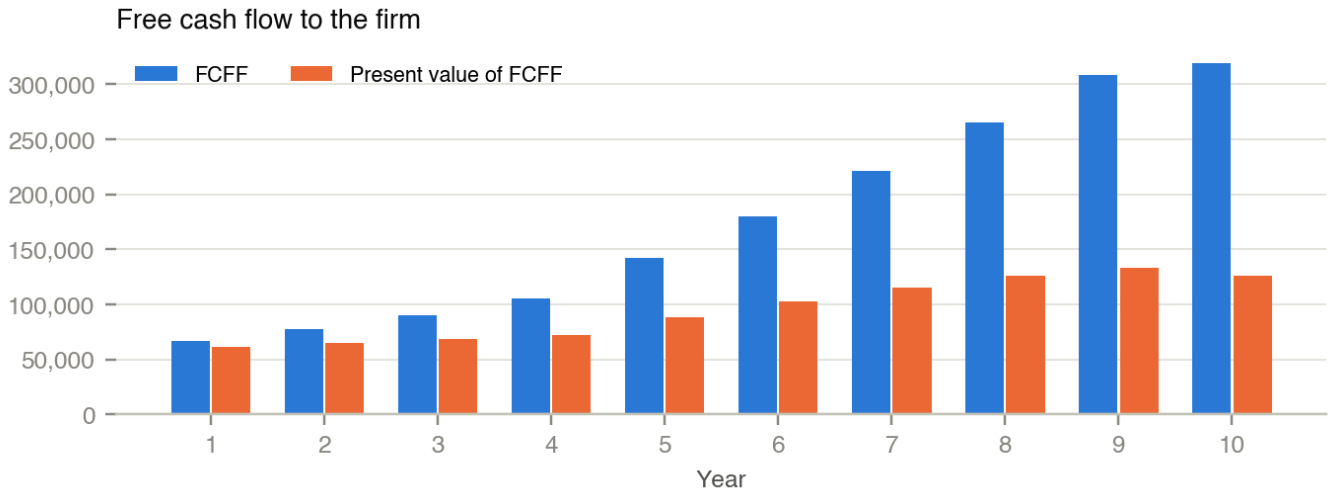
Ten-year projection (USD millions)

	Base	1	2	3	4	5	6	7	8	9	10	Term.
Revenue growth		17.8%	16.1%	16.1%	16.1%	16.1%	13.9%	11.8%	9.6%	7.4%	5.2%	5.2%
Revenue	331,839	390,869	453,892	527,078	612,064	710,753	809,889	905,229	992,094	1,065,708	1,121,593	1,180,410
Operating margin	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%	46.8%
EBIT	155,237	182,852	212,335	246,571	286,328	332,496	378,873	423,473	464,110	498,547	524,691	552,205
Tax rate	19.4%	19.4%	19.4%	19.4%	19.4%	19.4%	20.5%	21.6%	22.8%	23.9%	25.0%	25.0%
EBIT(1-t)		147,385	171,150	198,746	230,791	268,004	301,139	331,843	358,485	379,497	393,518	414,154
Reinvestment		80,254	93,194	108,221	125,670	126,239	121,405	110,614	93,739	71,165	74,896	229,240
FCFF		**67,131**	**77,956**	**90,525**	**105,121**	**141,765**	**179,734**	**221,229**	**264,747**	**308,333**	**318,621**	**184,914**
Cost of capital		9.8%	9.8%	9.8%	9.8%	9.8%	9.7%	9.7%	9.6%	9.5%	9.5%	9.5%
Discount factor		0.911	0.829	0.755	0.688	0.626	0.571	0.520	0.475	0.433	0.396	
PV(FCFF)		61,131	64,643	68,357	72,284	88,769	102,549	115,085	125,648	133,587	126,098	
ROIC	29.6%	34.9%	34.0%	33.3%	32.8%	32.3%	31.5%	30.8%	30.2%	29.6%	29.1%	9.5%

Summary	USD millions
Terminal value (year 11 FCFF ÷ (WACC – g))	4,371,480
PV of terminal value	1,730,067
PV of FCFF, years 1-10	958,154
Value of operating assets	2,688,221
Equity value attributable to common shares	2,708,046
Value per share	**364.69**

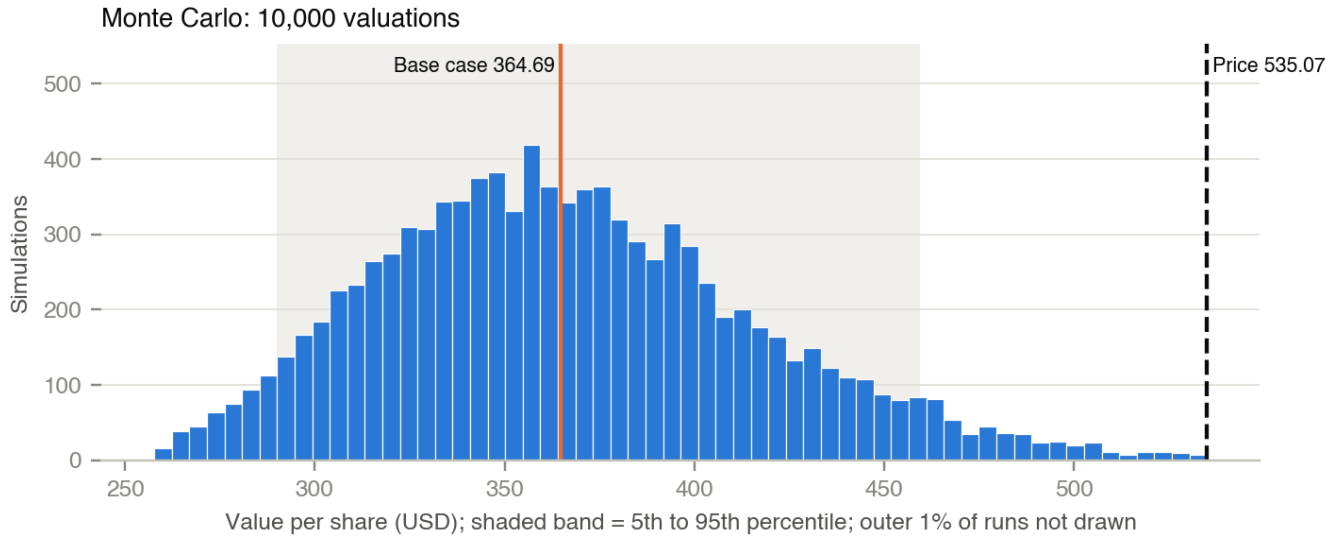






Risk: how wrong could this be?

Each simulation redraws revenue growth (years 2-5), the target margin (correlated with growth), the initial cost of capital and the sales-to-capital ratio, then reruns the full ten-year model. The spread of outcomes is the honest answer to 'what is it worth?'.

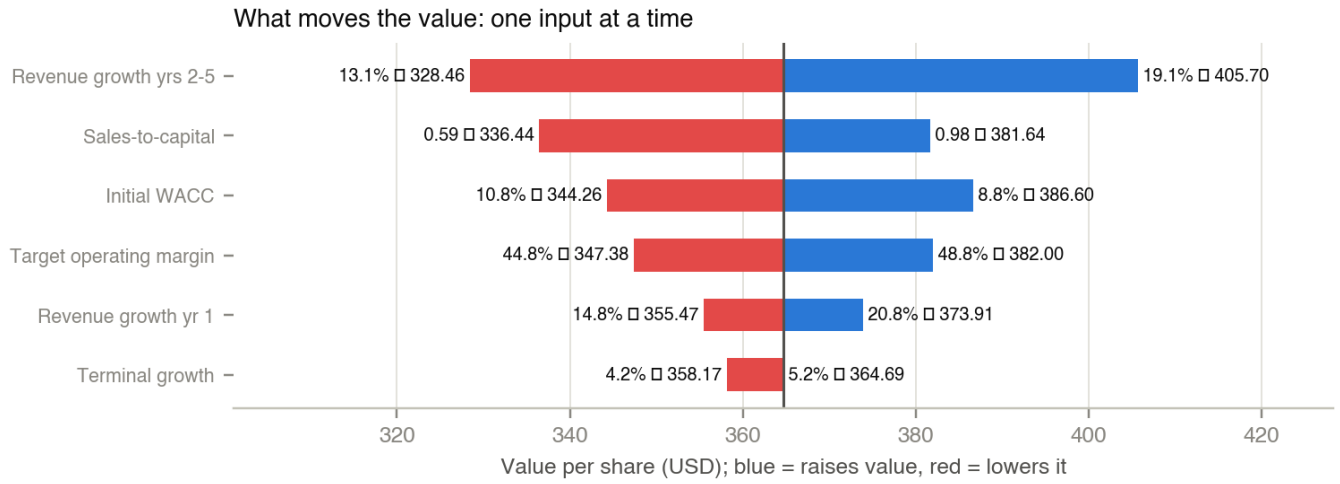


Mean	Median	Std dev	5th pct	25th pct	75th pct	95th pct	P(value > price)
366.64	362.13	51.45	290.20	330.32	397.69	458.99	0%

Sensitivity: value per share (USD) by cost of capital and terminal growth

WACC ↓ / g →	4.24%	4.74%	5.24%	5.74%	6.24%
8.81%	416.54	420.66	424.84	429.08	433.38
9.31%	385.58	389.23	392.93	396.69	400.49
9.81%	358.17	361.41	364.69	368.02	371.40
10.31%	333.75	336.63	339.55	342.52	345.52
10.81%	311.89	314.46	317.06	319.71	322.38

Blue cells are above the current price (USD 535.07), red below; the boxed cell is the base case. The WACC shift moves the whole cost-of-capital path. Damodaran caps terminal growth at the risk-free rate, so columns to the right of the base are deliberately aggressive. Terminal growth barely moves the value because the terminal return on capital equals the cost of capital: growth that earns exactly its cost of capital creates no value.



Sanity checks

	Check
OK	Terminal growth (5.24%) is at or below the risk-free rate (5.24%); no firm can outgrow the economy forever.
OK	Terminal ROC (9.47%) vs terminal WACC (9.47%): growth is value-neutral or better in steady state.
OK	Terminal value is 64% of operating value.
OK	0 of 10 projected years have negative FCFF.
OK	Implied year-10 ROIC is 29.1% (check the sales-to-capital ratio if this looks implausible).
OK	Revenue grows 3.4x over ten years.

Cost of capital build

Component	Value
Risk-free rate	5.24%
Beta	1.10
Equity risk premium	4.23%
Cost of equity (CAPM)	9.89%
Interest coverage → synthetic rating	50.9x → AAA
Pre-tax cost of debt (rf + spread)	5.83%
After-tax cost of debt	4.38%
Weights: equity / debt (market values)	99% / 1%
WACC	**9.81%**

Methodology

A ten-year free-cash-flow-to-the-firm model following the structure of Aswath Damodaran's *fcffsimpleginzu* spreadsheet. Revenue grows at a year-1 rate, then a years 2-5 rate, then fades linearly to the terminal rate. The operating margin converges linearly to a target. Taxes move from the effective to the marginal rate over years 6-10, with operating losses carried forward. Reinvestment is the change in revenue divided by the sales-to-capital ratio, so growth always has a cost. Cash flows are discounted at a cost of capital that drifts toward a mature-firm rate; the terminal value assumes reinvestment of g ÷ ROC, so stable growth is only valuable if returns exceed the cost of capital. Operating value is bridged to equity by subtracting debt and minority interests and adding cash and non-operating assets.

Data notes

- Revenue and operating income: TTM (last 4 quarters).
- Risk-free rate: US 10y Treasury yield 5.24% (^TNX).
- Financial data: Yahoo Finance via yfinance.

Prepared with an open-source Python DCF engine for educational purposes. Not investment advice. Inputs are estimates and the output is only as good as the story behind them.